Vanished Billions

(1929)

Edwin Lefèvre

It would have meant money and comfort to millions of Americans if they had followed advice given three thousand years ago: "In the day of prosperity be joyful, but in the day of adversity consider!" Translated from the King James version into stock-market jargon, it is: "In a bear market be sure you do what you didn't do in the bull market!" When you deal with states of mind you learn that men have always been what they are today, ticker or no ticker.

The reason why the stock market must necessarily remain the same is that speculators don't change; they can't. They could see no top early in 1929 and they could see no bottom late in 1931. Shrewd business men who wouldn't sell absurdly overpriced securities would not buy, two years later, underpriced stocks and bonds. The same blindness to actual values was there, only that while the heavy black bandage was greed in the bull market, it was fear in the bear market. Reckless fools lost first because they deserved to lose, and careful wise men lost later because a world-wide earthquake doesn't ask for personal references. Nevertheless, there is a general belief that the wise rich escaped punishment—as usual. You incessantly hear about the huge losses of the unlucky multitude, though there has not been